

Inducements in Michigan

The Michigan Consumer Protection Act, which aims to protect consumers from unfair or deceptive practices, covers inducements. Generally speaking, inducements are incentives. Specifically, the act says the following is unlawful: "Representing that a consumer will receive a rebate, discount, or other benefit as an inducement for entering into a transaction, if the benefit is contingent on an event to occur subsequent to the consummation of the transaction."

Example

Curtis tells a prospective buyer that she'll receive a \$200 gift certificate if she purchases a home. This is prohibited.

Example

Marvin holds a drawing for a \$200 gift certificate at an open house. This is acceptable, provided neither winning nor the odds of winning are contingent upon a party entering into a transaction.